3. Lack of Social Skill

Business organisations and their managers are not familiar with social affairs. There are special social service organisations such as Government and Non-Governmental Agencies which can better deal with social problems.

4. Burden on Consumers

If business deals with social problems, cost of doing business would increase. These costs will be passed on to consumers in the form of higher prices or will have to be borne by owners. This would lead to taxation without representation.

5. Responsibility without Power

Business organisations possess only economic power and not social power. It is unjust to impose social responsibilities with social power. If business is allowed to intervene in social affairs it may perpetuate its own value system to the detriment of society.

6. Misuse of Responsibilities

Acceptance of social responsibilities will involve diversion of precious managerial time and talent on social action programmes. It may result in dilution of valuable corporate resources.



7. Lack of Yard-stick

Profitability is the common criteria for decision-making in business. Tampering it with social responsibility would make the decision-making process quite complex and controversial.

8. Improper Role

The proper role of business is to use its resources and energies efficiently so as to earn the best possible return on investment within the confines of law and ethics. Business should concentrate on economic performance leaving social service to other organisations.

9. Over Loading Responsibility

Business organisations are already serving society by providing goods and services, generating employment, developing technology and contributing to public exchequer through tax payments. It would be unjust to overburden them with further responsibilities.

17.04 Kinds of Social Responsibility

Social responsibility of business can broadly be divided into four categories, which are as follows:

Kinds of Social Responsibility

1. ***Economic Responsibility***

   A business enterprise is basically an economic entity and, therefore, its primary social responsibility is economic i.e., produce goods and services that society wants and sell them at a profit. There is little discretion in performing this responsibility.

Commerce 16-25.indd 173 2/17/2021 4:50:06 PM